

## 1.3 History

The Avino deposit was originally discovered around 1555 by the Spanish conquistador Don Francisco de Ibarra. Mining operations at the Avino Mine are said to have commenced in 1562-1563 and were in production until the early 1900s. By 1908, the Avino Mine was considered one of the largest open pit mines in the world and equipped with one of the largest lixiviation smelters (Gallegos 1960; VSE 1979; Slim 2005d). During the early phases of the Mexican Revolution in 1910, proceeds from the mine supplied funds to the revolutionary forces. Since much of the fighting occurred in and around Durango, the mine was abandoned in 1912. Between 1912 and 1968, the mine was worked intermittently on a small scale (Avino Annual Report 1980). There is no documentary record of production from the Avino Mine during this period. The Property was acquired under current ownership in 1968.

In the late 19th century, the La Preciosa part of the Property was known as Mina La Preciosa. Early work was focused on the north end of La Preciosa Ridge where the Gloria and Abundancia veins outcropped to surface. Mining ceased at the onset of the Mexican Revolution in 1910 until the 1970s. Luisman, operating as Minera Thesalia (a joint venture ("JV") with Tormex S.A Minera), conducted exploration on the area in 1981, 1982, 1988, and 1994. This work consisted of a surface and underground channel sampling program and diamond drilling. From 1997 to 2001, processing plant production at the Avino Mine site averaged 1,000 tpd and achieved up to 1,300 tpd with the target metal values being gold, silver, and copper.

Orko (subsequently Orko Silver Corp.) entered into a JV agreement with Luismin in 2003 and subsequently acquired the control of the La Preciosa area with Luismin maintaining a royalty. Orko performed a series of exploration programs beginning in 2005 and lasting until 2008 and drilled 388 core holes for a total of 152,368 m on targets at Orito, San Juan, and La Preciosa. Additional surface sampling and mapping was also performed during that time.

Orko signed a JV agreement with Pan-American Silver ("PAS") in 2009. PAS drilled 363 drillholes for a total of 91,096 m during 2009-2010. The result was a Mineral Resource estimate to support a feasibility study issued in 2012 by Quantitative Geoscience Pty. Ltd. and included a Technical Report by Snowden Engineering Inc. (Snowden) done in 2011 (Snowden, 2011a). PAS work included the use of some drillholes for geotechnical purposes, and four metallurgical test programs performed by SGS Mineral Services in Durango, Mexico. In April 2013, the acquisition of Orko was completed by Coeur.

Following several years of redevelopment, in Q4 2014, a mining facility and plant expansion was completed at Avino. Full-scale operations commenced on January 1, 2015, and commercial production was declared effective on April 1, 2016, following a 19-month advancement and test period. Mineralized material from the underground Avino ET deposit was processed into a copper-silver-gold concentrate using one of four bulk flotation circuits (Mill Circuit 3) at the rate of 1,000 tpd. In 2018, AVINO completed an expansion to its processing plant with the addition of a fourth bulk flotation circuit (Mill Circuit 4) rated at 1,000 tpd; increasing the combined throughput capacity of the plant to 2,500 tpd (Avino 2026). The materials from the previous San Gonzalo Mine were processed from October 2012 to Q4 2019 with the target values of gold, silver, lead, and zinc.

By a share purchase agreement dated October 27, 2021 with Coeur and its affiliates, AVINO agreed to indirectly acquire PMLP and the La Preciosa property. The acquisition was completed on March 21, 2022. On August 25, 2025, AVINO announced that it had completed the 2025 Transaction, whereby it purchased and extinguished all of the outstanding La Preciosa Obligations it had granted to Coeur (then held by Deterra) (as such terms are defined below).

AVINO has started transporting mineralized materials mined during the ramp development at La Preciosa to the Avino processing plant for processing to produce a silver-gold flotation concentrate. By the end of 2025, Avino Mine had processed 11,995 t of the materials from the La Preciosa deposit (Avino 2026).